



Central Bank of Nigeria



PAYMENTS SYSTEM SUPERVISION

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Payments System Supervision

Mandate

- To ensure soundness and safety of the Payments System through enforcement of rules/guidelines.
- To promote sound practices that encourage strong internal controls, transparency and accountability in FINTECHs.
- To conduct effective offsite and onsite supervision of FINTECHs.
- To institute a sound monitoring system with the capabilities of early warning signals for the Payments System landscape.

Introduction

The Payments System plays a very crucial role in any economy, being the channel through which financial resources flow from one segment of the economy to the other. It, represents the major foundation of the modern market economy. Essentially, there are three pivotal roles for the payments system, namely: the monetary Policy role, the financial stability

role and the overall economic role.

The Nigerian Payments System witnessed remarkable achievements in the recent past, with the introduction of several initiatives under the Payments System Vision 2020 as listed below, amongst others:

- Implementation of Bank Verification Number (BVN) Scheme to address issues associated with the absence of unique identifier of bank customers across the industry
- Issuance of Guidelines on International Money Transfer Services in Nigeria
- Issuance of Revised Guidelines for Card Issuance and Usage in Nigeria
- Implementation of Industry e-Reference Portal
- Abolished fees on cash deposits above the Cash-less policy threshold.
- Sensitization campaign on Cash-less policy in preparation for take-off of the Cash-Less Policy initiative in the remaining 30 states of the Federation.
- Licensed 10 additional PTSPs to cater for the maintenance of POS terminals
- Clearing House sanctions to instill discipline among the participating members.
- Conducted compliance monitoring of banks with Payment Card Industry Data and Security Standards (PCIDSS).
- Maximum Cap on Cheque
- Implementation of Nigeria Uniform Bank Account Number (NUBAN)
- Cheque Truncation
- Reduction of clearing cycle to T+1 from T+2
- Setting of ₦150,000 limit on encashment of 3rd party cheques
- Issuance of Guidelines for the Regulations of Agent Banking in Nigeria,
- Migration to Europay, Mastercard and Visa (EMV) cards
- Help Desk on Card-Related Complaints
- Card Fraud Prevention Strategies
- Introduction of second-level authentication for card not present payment.
- Banks to have real-time online monitoring tools for PIN entry attempts.
- Automatic blocking of the card after three unsuccessful PIN attempts.
- Set limit for card-to-card transfers, POS and web payments.
- Banks segregated the process of PIN handling and card activation.
- Proper due diligence should be done to all merchants before POS is

allocated.

- Enlightenment campaign on protection of PIN/card details for cardholders
 - Establishment of Nigeria Electronic Fraud Forum (NEFF)
 - Collaboration with banks, switches, EFCC, NIMC, NCC, PCC, CPC and other institutions to fight e-payment fraud.
 - Implementation of National Central Switch
 - Implementation of Mobile Payment
 - Standards and Guidelines on ATM and POS Operations in Nigeria
 - Deployment of new RTGS System
 - Cash-less Nigeria
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1.1 National Payments System (NPS) Objectives

Given the important role that well-functioning payment systems have on monetary policy, financial stability and overall economic activity, the Central Bank of Nigeria has put in place a set of national payments system policy objectives as a broad guideline and framework for all payments system initiatives. In setting out the objectives of the National Payments System (NPS), the goal is to ensure that the system is available without interruption, meet as far as possible all users' needs, and operate at

minimum risk and reasonable cost.

1.2 General Legal Framework

The CBN has drafted a Payments System Management Bill to address the absence of law that explicitly and exclusively deals with Payments systems in Nigeria. The CBN Act, as amended in 2007, gives The Bank the implicit powers to oversee and regulate the payments system. Section 47 (1) of the CBN Act provides "that it shall be the duty of the CBN to facilitate the clearing of cheques and credit instruments for banks carrying on business in Nigeria and for this purpose, the Bank shall at any appropriate time and in conjunction with other banks establish clearing houses in premises provided by the Bank in such places as the Bank may consider necessary". Section 47 (2) provides that the Bank shall continue to promote and facilitate the development of efficient and effective systems for the settlement of transactions. Section 17 provides that "the Bank shall have the sole right of issuing currency notes and coins throughout Nigeria ... "Also, the Nigeria Deposit Insurance Corporation (NDIC) in exercising its responsibilities as provided by NDIC Act, 2006 complements the supervisory function of the CBN in the nation's payment system. The extent of this responsibility is the insuring of all deposit liabilities of banks in order to protect depositors against bank failure and instill public confidence in the system.

1.3 Institutional and Organizational Framework

The CBN is the main institution that regulates the Payments System. Banks, discount houses, Nigeria Inter-Bank Settlement System (NIBSS), Nigeria Stock Exchange, payment service providers and switching companies, remain the key players in the Nigerian payments system. The CBN, complemented by the Nigeria Deposit Insurance Corporation (NDIC) provides the necessary oversight function to ensure the efficiency and effectiveness of the payments system.

1.4 The role of Central Bank in the National Payment System

Six major responsibilities of the Bank that are derived from the Act establishing the CBN, as amended. They include:

- Act as Banker to banks and provide the smooth operation of payments, clearing and settlement systems.
- Act as Banker and adviser to, and as fiscal agent of Government.
- Issue currency notes and coins
- License and supervise authorized dealers (except stock brokers that are licensed by Securities and Exchange Commission and supervised by the Nigeria Stock Exchange).
- Formulate and implement foreign exchange reserve policy.
- Hold and manage its foreign exchange reserves.

Furthermore, the Bank is empowered by the CBN Act to formulate and implement monetary policy, to achieve and maintain stability in the general level of prices and make regulations for the proper functioning of a stable market. It is also charged with the responsibility to oversee the operations of deposit money banks and other financial institutions.

1.5 SUMMARY OF PAYMENTS SYSTEM ACHIEVEMENTS IN NIGERIA - 1993 to 2023

- Implementation of MICR - 1993
- Establishment of NIBSS - 1993
- Setting up of Technical Committee on Automation and appointment of consultant for NACS - 1996 to 1997
- Full implementation and live operation of NACS - 2002
- Reduction of the clearing cycle to T+3 and T+5 for local and upcountry instruments, respectively - 2002
- Guidelines on e-banking - 2003
- Establishment of switching companies and interoperability of shared ATM/POS - 2004
- New Settlement Framework (for Cheque Clearing) - 2004
- Cheque Standard and Cheque Printer Accreditation Scheme - 2005

- Reconstituted National Payments System Committee and set up technical sub-committee - 2005
- Implementation of RTGS System, T24 eFASS and ERP - 2006
- Payments System Strategy Team inaugurated - 2006
- Establishment of National Central Switch - 2006
- Cheque Standard & Cheque Printers Accreditation - 2006
- Payments System Vision 2020 - 2007
- Harmonization of clearing cycles (upcountry and local) at T+2 (Three working days) - 2008
- Deployment of NACS to Port Harcourt Clearing Zone - 2008
- Deployment of NACS to Kano, Ibadan and Enugu - 2009
- Issuance of Mobile Payment Regulatory Framework - 2009
- Guidelines on Transaction Switching - 2009
- Guidelines on Stored Value/Prepaid Cards - 2009
- Direct Debit Rules - 2009
- Cheque cap of ₦10 million - 2010
- Migration to EMV Cards - 2010
- Guidelines on ATM Operations - 2010
- Nigeria Uniform Bank Account Number (NUBAN) - 2010
- Issuance of Cash-less policy circular - 2011
- Issuance of Guidelines for Card Issuance and Usage in Nigeria - 2011
- Licence of six (6) Payments Terminal Service Providers (PTSPs) for deployment and maintenance of POS - 2011
- Commencement of charges on cash withdrawal/deposit above the Cash-less policy threshold in Lagos - 2012
- Implementation of cheque truncation in Lagos - 2012
- Reduction of clearing cycle from T+2 to T+1 in Lagos - 2012
- Nationwide implementation of Cheque Truncation - 2013
- Reduction of clearing cycle to T+1 from T+2 - 2013
- Setting of ₦150,000 limit on encashment of 3rd party cheques - 2013
- Licensed ten (10) additional PTSPs - 2013
- Issuance of Clearing House sanctions to instill discipline among the participating members - 2013
- Deployment of new RTGS and Scripless Securities Settlement System - 2013
- Compliance monitoring with Payment Card Industry Data and Security Standards (PCI DSS) - 2013
- Issuance of Guidelines for the Regulation of Agent Banking in Nigeria - 2013

- Issuance of revised Guidelines for Card Issuance and Usage in Nigeria - 2014
- Implementation of industry e-reference portal - 2014
- Abolished fees on cash deposits above the cash-less Policy threshold - 2014
- Sensitization Campaign on cash-less Policy in preparation for take-off of the cash-less initiative in the remaining 30 states of the Federation - 2014
- Implementation of Bank Verification Number (BVN) Scheme - 2014
- Issuance of Guidelines on International Money Transfer Services in Nigeria - 2014
- Issuance of Regulatory Framework for Licensing Super-Agents in Nigeria - 2015
- Issuance of Regulatory Framework for Mobile Money Services in Nigeria - 2015
- Issuance of Guidelines on Mobile Money Services in Nigeria - 2015
- Implementation of the Global Mobile Payments Monitoring & Regulation System - 2015
- Issuance of the Guidelines on International Mobile Money Remittance Service in Nigeria - 2015
- Guidelines for the Operation of Treasury Single Account (TSA) by State Governments in Nigeria - 2016
- Guidelines on Operations of Electronic Payment Channels in Nigeria - 2016
- Guidelines on Transaction Switching in Nigeria - 2016
- Circular on the Implementation of Interchange Fee - 2016
- Guidelines on Securities Settlement in Nigeria - 2016
- Regulation For Direct Debit Scheme in Nigeria (Revised) - 2018
- Regulation For Bill Payments in Nigeria - 2018
- Regulatory Framework for the Use of Unstructured Supplementary Service Data (USSD) in the Nigerian Financial System - 2018
- Regulation on Instant (Inter-Bank) Electronic Funds Transfer Services in Nigeria - 2018
- Regulation on Electronic Payments and Collections for Public and Private Sector in Nigeria - 2019
- Regulation for the Operation of Indirect Participants in the Payments System - 2019
- Guidelines on Nigerian Payments System Risk (NPSR) and Information Security Management Framework - 2020
- Revised Standards on Nigeria Uniform Bank Account Number (NUBAN)

for Banks and Other Financial Institutions - 2020

- Guidelines on Operations of Electronic Payment Channels in Nigeria - 2020
- New Licence Categorisation for Nigerian Payments Service Providers - 2020
- Receipt of Diaspora Remittances: Additional Operational Guidelines - 2020
- Issuance of the Framework for Regulatory Sandbox Operations - 2021
- Framework for Quick Response (QR) Code Payments in Nigeria - 2021
- Circular on the Regulatory Framework on Open Banking in Nigeria - 2021
- New Licence Requirements for the Payments System - 2021
- Regulatory Framework on Non-bank Merchant Acquiring in Nigeria - 2021
- Supervisory Framework for Payment Service Banks - 2021
- Framework and Guidelines on Mobile Money Services in Nigeria - 2021
- Guidelines for Licensing and Regulation of Payments Service Holding Companies in Nigeria - 2021
- Operational Guidelines for Open Banking in Nigeria Published 2022
- Guidelines for Contactless Payments in Nigeria - 2022
- Operational Guidelines for Open Banking in Nigeria - 2023
- Regulatory Framework for the Agent Banking in Nigeria - 2023
- Guidelines for Contactless Payments in Nigeria - 2023

RELATED LINKS

- › [Supervision](#)
- › [Payments Circulars](#)
- › [Payments Guidelines](#)
- › [e-Payments Statistics](#)

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QUICK LINKS

- > AfCFTA
- > CBN & The Community
- > Environmental & Social Commitment Plan
- > Freedom of Information Office
- > IT Standards Blueprint
- > MPC Communiqués

- › News Archive
- › Nigerian Electronic Fraud Forum
- › Procurement
- › Statistics Database

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*We are open for business Monday through Friday except on national holidays.
Our working hours are from 8:00a.m. - 4:00p.m. Visitation is strictly by
invitation and does not extend beyond 2:00p.m.*

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